



NO PRIOR KNOWLEDGE NEEDED

Off-Plan Explained

A First-Timer's Guide to Buying Before It's Built

[Payment plans](#)

[Escrow](#)

[Risks](#)

[Glossary](#)

New to off-plan? Start here.

This guide assumes you know nothing about buying a property before it's built. Each chapter explains one idea in plain words.

It doesn't cover any particular country, project or developer. What you learn here applies wherever you decide to look.



01	What "off-plan" actually means	03
02	Why developers sell this way	04
03	How payment plans work	05

04	Escrow and buyer protection	06
05	Realistic risks to understand	07
06	A simple glossary	08

What “off-plan” actually means

Buying off-plan means buying a property before it's built, or while it's still being built. You decide from floor plans, drawings and computer images (called renders), not by walking around a finished home.



A SIMPLE WAY TO PICTURE IT

It's like ordering a made-to-order sofa from a catalogue.

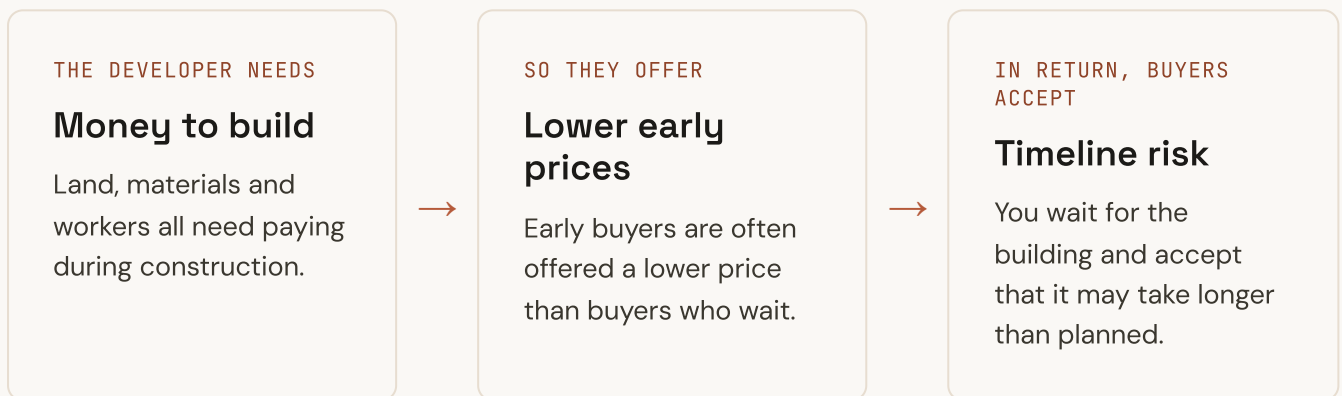
You choose it from pictures and measurements, pay part of the price up front, and wait while it's made. When it arrives, you check it matches what you ordered. Off-plan works the same way, but over months or years, and for a much bigger purchase.

Off-plan vs. ready-built

OFF-PLAN	READY-BUILT
You see plans and renders	You see the actual home
You pay in stages	You usually pay all at once
You wait for it to be built	You can move in soon after buying
Often a lower starting price	Priced as a finished home

Why developers sell this way

A developer is the company that plans, builds and sells a new building. Building costs a lot of money long before anything is ready to sell. Selling homes early is one way developers pay for that work.



“

Selling before building is standard practice. On its own, it isn't a warning sign.

GOOD TO KNOW

What matters is who the developer is, what they've built before, and how your money is protected. Chapter 4 explains that last part.

How payment plans work

With off-plan, you usually pay the price in parts, spread over the time it takes to build. This schedule is called a payment plan.

01

Booking payment often 10-20%

Your first payment reserves the unit for you. You'll normally sign a sale and purchase agreement around this time.

02

Instalments during construction

Further payments are spread out while the building goes up. They're linked to one of two things:

Construction milestones

e.g. when the frame or the roof is finished

Calendar dates

e.g. every three or six months

03

Final payment

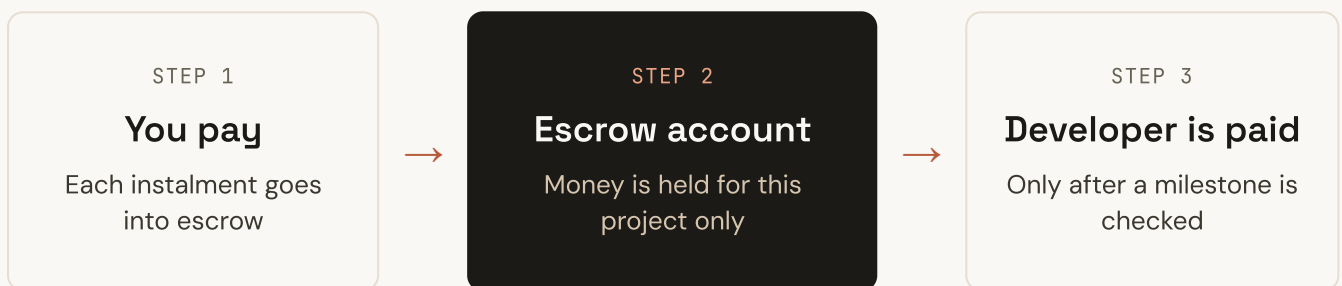
The rest of the price is paid at or just before handover, when the finished home becomes yours and you get the keys.

PLANS VARY

The exact amounts and timing differ from one developer and project to another. Always read the payment schedule in your own agreement.

Escrow and buyer protection

In regulated markets, your payments don't go straight to the developer. They go into a special bank account for that one project, called an escrow account.



An independent party confirms each stage of construction is done before money is released. That stops a developer from taking buyers' money without building.

ESCROW HELPS PROTECT AGAINST

- ✓ Money being taken with no building work
- ✓ Funds being moved to a different project

ESCROW DOES NOT PROTECT AGAINST

- ✗ Construction delays
- ✗ Changes in the property's market value

Not every market requires escrow. Ask whether the project you're considering uses one, and check its registration number with the local authority.

Realistic risks to understand

Every off-plan purchase carries some risk. Knowing the three main ones helps you ask better questions and plan for them.



01

Delays

Buildings are often finished later than planned. Weather, supplies, permits and labour can all slow things down.

ASK

What does the agreement say happens if handover is late?

02

It may differ from the renders

Renders are illustrations. Finishes, materials, views or room sizes can end up different from what you saw.

ASK

Is the specification written into the agreement, and what can the developer change?

03

Market value can change

Between booking and handover, the property's value can go up or down. Nobody can promise which.

ASK

Could I still pay the final amount if the value fell?

A simple glossary

Words you'll hear often, explained in plain language.

Off-plan

Buying a property before it's built, or while it's being built, based on plans and renders.

Handover

The day the finished property is officially passed to you and you receive the keys.

Escrow

A protected bank account that holds buyers' money and releases it to the developer as building work is confirmed.

Payment plan

The schedule that sets out how much you pay, and when, from booking to handover.

Developer

The company that plans, builds and sells the project.

Permit / registration number

An official number showing the project is approved and recorded by the authorities. You can use it to check the project is real.

Sale and purchase agreement (SPA)

The contract between you and the developer. It sets out the price, payment plan, specification and handover terms.

Snagging

Inspecting the finished home before handover and listing any defects for the developer to fix.

NEXT STEP

Have questions? Ask before you commit.

Book a free 30-minute call. We'll go through anything in this guide that's unclear and help you work out what to ask next.

Book your free call →

amsispaces.com/consult